

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 25-24

SOUTHERN INTERNATIONAL COMPANY LIMITED,

Complainant,

v.

DAYNAMEZ GROUP OF COMPANIES LLC,

Respondent.

COMPLAINANT'S OPPOSITION TO RESPONDENT'S MOTION TO DISMISS

I. INTRODUCTION & SUMMARY OF ARGUMENT

Complainant SOUTHERN INTERNATIONAL COMPANY LIMITED ("SIC") respectfully submits this Opposition to Respondent Daynamez Group of Companies LLC's ("Daynamez") Motion to Dismiss.

Respondent's motion seeks dismissal based on four primary grounds: (1) lack of subject-matter jurisdiction; (2) an arbitration clause designating Vietnam as the proper forum; (3) failure to state a plausible claim for relief; and (4) a procedural defect due to a lack of verification.

The motion should be denied for the following reasons:

1. **The Commission possesses subject-matter jurisdiction.** Daynamez, by

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collecting ocean freight payments from SIC for transport to the U.S. and assuming sole responsibility for paying the underlying carriers, acted functionally as a Non-Vessel-Operating Common Carrier (NVOCC), regardless of its self-proclaimed title as a "sales agent." This functional role places its conduct squarely within the Commission's oversight under the Shipping Act.

2. **The arbitration clause is unenforceable as to Shipping Act claims.** A private contractual clause cannot strip the Commission of its statutory duty to enforce the Shipping Act. The public interest in preventing unfair and unjust practices in U.S. ocean commerce overrides private forum-selection agreements, especially when the claims are statutory in nature and not merely contractual disputes.
3. **The Complaint states plausible claims for relief.** The Complaint details a clear and specific scheme wherein Daynamez collected **\$2,415,650.87** from SIC for **558 containers** and failed to remit these funds to the carriers, leading to cargo holds and severe financial damage. These detailed factual allegations are more than sufficient to state claims upon which relief can be granted under the Shipping Act.
4. **The lack of verification is a minor, curable procedural defect.** Dismissal is an extreme and unwarranted remedy for a procedural issue that can be immediately corrected by filing a Verified Amended Complaint.

Accordingly, SIC respectfully requests that the Motion to Dismiss be denied in its entirety.

II. STANDARD OF REVIEW

In evaluating a Motion to Dismiss, the Commission must accept all well-pleaded factual allegations in the Complaint as true and draw all reasonable inferences in the Complainant's favor. The standard is not whether the Complainant will ultimately prevail,

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but whether the Complaint "state[s] a claim upon which relief may be granted."

As the Commission has previously held in matters involving similar facts, dismissal is inappropriate where the complaint alleges violations of the Shipping Act that are factually contested. For instance, in *YSN Imports Inc. d/b/a YSN Flowermarket v. G.E. Logistics, LLC, et al.*, Docket No. 16-01, Chief Administrative Law Judge Erin Wirth denied a motion to dismiss, holding:

"The Complaint properly alleges violations of the Shipping Act. The Respondents' Motion does not show that there is no set of facts under which the Complainant could prove a violation."

Furthermore, the Commission applies a pleading standard that favors adjudication on the merits. As an administrative agency, the Commission's procedures are designed to fully investigate potential violations of the Shipping Act, and dismissal at the pleading stage is disfavored where the complaint provides fair notice of the claims. Respondent's reliance on Federal Rules of Civil Procedure (FRCP) cases like *McHenry v. Renne* and *Salahuddin v. Cuomo* is misplaced. Unlike federal courts, the Commission is not strictly bound by the FRCP and instead applies its own Rules of Practice and Procedure at **46 C.F.R. Part 502**, which prioritizes a "fair notice" standard over rigid formalism.

The U.S. Supreme Court has set a pleading standard in *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009):

"To survive a motion to dismiss, a complaint must contain sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible on its face.' A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged."

Similarly, in *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 555 (2007), the Court stated:

"Factual allegations must be enough to raise a right to relief above the speculative level."

The Complaint here easily surpasses this threshold.

III. ARGUMENT

A. The Complaint States Plausible Claims for Relief Under the Shipping Act

Respondent's assertion that the Complaint is a "series of lengthy rambling paragraphs" that fails to state a claim is baseless. Respondent's reliance on the Federal Rules of Civil Procedure is misplaced. Proceedings before the Federal Maritime Commission are governed by the Commission's own Rules of Practice and Procedure, found at **46 C.F.R. Part 502**. The Commission's pleading standard is distinct and tailored to its administrative adjudicatory function. Specifically, **46 C.F.R. § 502.61** requires a complaint to contain a "clear and concise statement of the facts" constituting the alleged violation.

SIC's Complaint, which meticulously details the specific amounts of money misappropriated (**\$2,415,650.87**), the number of containers affected (**558**), and the sequence of events leading to the harm, far exceeds this requirement. It provides Respondent with ample notice of the claims against it, which is the primary purpose of a pleading under the Commission's rules. Respondent's citation to *Stanard v. Nygren* is particularly inapt; that case involved a complaint deemed "generally incomprehensible and riddled with errors." In stark contrast, SIC's Complaint is structured, coherent, and replete with specific, quantifiable data, making it impossible for Daynamez to claim it does not know what wrongs it is accused of committing.

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To the contrary, the Complaint provides a detailed and coherent account of Daynamez's violations. Specifically, SIC has alleged that:

- Daynamez collected **\$2,415,650.87** in ocean freight payments from SIC for **558 containers** shipped to the United States.
- Despite receiving these funds, Daynamez failed to pay the underlying carriers and its booking partners (Super Cargo Service Company Limited and Kargosmart Global Vietnam Co., LTD), causing the detention of numerous shipments.
- Daynamez's actions forced SIC to make additional payments on Daynamez's behalf to secure cargo release, including **\$149,990** to Super Cargo and a **\$50,000** deposit to Kargosmart Vietnam, neither of which has been returned.

These are not vague or conclusory allegations; they are **specific, quantifiable facts** that plausibly allege unjust and unreasonable practices. The sheer scale of these figures—over **\$2.4 million misappropriated for hundreds of containers**—underscores the seriousness of the violations and the plausibility of the claims.

B. The Commission Has Jurisdiction Over Daynamez's Conduct

1. The Commission's Jurisdiction is Functional, Not Nominal

Daynamez's central argument, that it was a mere 'sales agent' and not an NVOCC, is a classic attempt to evade regulatory oversight by hiding behind a self-serving label. The Commission's jurisdiction, however, is **functional, not nominal**. The test is not what Daynamez calls itself, but what it actually did. Under **46 C.F.R. § 515.2**, an NVOCC is defined as a common carrier that "holds itself out to provide ocean transportation" and "assumes responsibility for the transportation from port to port."

Here, Daynamez's conduct squarely meets this definition. As detailed in the Formal

Complaint and evidenced by the operational workflow it designed, Daynamez:

- (1) held itself out to SIC as the entity capable of securing and providing ocean transportation services at competitive rates;
- (2) designed and controlled the financial flow, requiring SIC to pay the full ocean freight directly to Daynamez within five days of the vessel's departure; and
- (3) assumed sole responsibility for ensuring the carriers were paid, thereby taking on the core financial risk of the transportation.

By collecting payment for the freight and failing to remit it, Daynamez was not acting as a passive agent; it was functioning as the principal entity responsible for the carriage, i.e., an NVOCC. The Commission has long held that an entity cannot avoid its responsibilities simply by adopting a different label. See *Royal Cargo Line, Ltd.*, FMC Docket No. 02-06 (2003).

The fact that it used licensed NVOCCs (Super Cargo Service Company Limited and Kargosmart Global Vietnam Co., LTD) to issue bills of lading does not change its own functional role. It acted as an **unlicensed NVOCC**, which is a direct violation of the Shipping Act (**46 U.S.C. § 40902**) that the Commission has both the authority and duty to address. See *In re Worldwide Relocations, Inc.*, FMC Docket No. 06-07 (penalizing an unlicensed entity for performing OTI services). Allowing an entity to avoid jurisdiction simply by not obtaining a license would create an absurd and dangerous loophole.

2. Respondent's Cited Precedents are Inapplicable

Daynamez's reliance on *Landstar Express America Inc. v. FMC*, 569 F.3d 493 (D.C. Cir. 2009) is misplaced because the facts are fundamentally different. In *Landstar*, the entity in question acted as a true agent and did *not* assume financial responsibility for the transport. The D.C. Circuit Court noted:

"a person or entity that provides NVOCC services falls within the ambit of § 19 only when it 'holds itself out to the general public to provide transportation' and 'assumes responsibility for the transportation.'"

Daynamez's actions stand in direct contrast. By demanding and collecting the full ocean freight from SIC, Daynamez explicitly "assume[d] responsibility for the transportation," satisfying the very test articulated in *Landstar*. Likewise, the *A Customs Brokerage* case is not on point as it involved different functions that did not meet the NVOCC definition.

Thus, rather than supporting dismissal, a proper application of *Landstar* and a distinction of *A Customs Brokerage* confirm that Daynamez's conduct falls squarely within the FMC's jurisdictional purview.

C. The Forum-Selection Clause Does Not Defeat FMC Jurisdiction

Respondent's reliance on the arbitration clause is unavailing because a private agreement cannot divest the FMC of its statutory jurisdiction to enforce U.S. public law. The Shipping Act embodies a strong U.S. public policy, declaring that the regulation of ocean transportation is "*necessary in order to promote the growth and development of U.S. exports and foreign commerce*" and to "*ensure an efficient and economic transportation system for the ocean commerce of the United States.*" **46 U.S.C. § 40101**. This policy is undermined by "unjust and unreasonable practices."

SIC's Complaint alleges precisely such practices—a scheme that led to **558 containers** being held hostage in U.S. ports, disrupting the U.S. supply chain and harming U.S. consignees. These are **statutory claims** under the Shipping Act, not mere breach of contract claims. The arbitration clause in the Agency Agreement governs contractual disputes between the parties; it cannot, and does not, preclude SIC from pursuing its statutory rights before this Commission.

The Commission has consistently held that claims arising under the public policy mandates of the Shipping Act cannot be forced into private foreign arbitration. See, e.g., *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, FMC Docket No. 99-24 (FMC Oct. 31, 2000) (denying a motion to compel arbitration for Shipping Act claims, stating that:

"the public interest in having these statutory claims resolved by the Commission outweighs the parties' private interest in arbitration").

Furthermore, federal courts have repeatedly affirmed the FMC's primary jurisdiction in such matters. See *DHL Global Forwarding (USA) Inc. v. FMC*, D.C. Cir. 2013. Forcing these statutory claims into VIAC arbitration would effectively nullify the FMC's Congressionally mandated role as the enforcer of the Shipping Act for the protection of U.S. commerce.

D. The Lack of Verification Is a Minor Procedural Defect That Should Be Cured

Respondent is correct that the initial Complaint was not verified as required by **46 C.F.R. § 502.6(a)**. However, this is a minor, non-jurisdictional defect that is easily cured by amendment. The Commission's practice, as codified in its own rules and confirmed in case law, is to allow such amendments as a matter of course to promote adjudication on the merits. See **46 C.F.R. § 502.151** and **§ 502.69** (allowing amendments to pleadings); *Hecny Transportation, Inc. v. Ocean Network Express*, FMC Docket No. 20-05 (2020) (permitting amendment to cure lack of verification).

Dismissal is a draconian remedy reserved for incurable defects, which this is not. SIC stands ready to file a Verified Amended Complaint immediately upon the Commission's leave. The verification requirement is a procedural formality intended to attest to the truth of the factual allegations. The substance of those detailed allegations remains unchanged and fully supports the pleaded claims. Precluding SIC from pursuing its meritorious claims

due to this minor oversight would elevate form over substance and contravene the Commission's commitment to deciding cases on their merits.

IV. CONCLUSION AND RELIEF REQUESTED

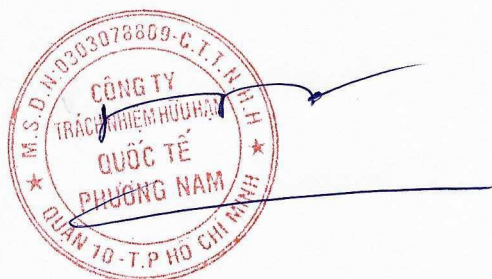
For the foregoing reasons, Respondent's Motion to Dismiss should be denied in its entirety. The Commission has jurisdiction, the Complaint states plausible claims under the Shipping Act, the arbitration clause is unenforceable against these statutory claims, and any procedural defect is readily curable. To grant this motion would create a dangerous precedent, allowing unlicensed foreign entities to operate as functional NVOCCs, misappropriate millions of dollars intended for U.S. commerce, and then evade accountability for actions that directly harmed U.S. consignees and disrupted the U.S. supply chain.

Complainant SOUTHERN INTERNATIONAL COMPANY LIMITED respectfully **REQUESTS** that the Commission:

1. **DENY** Respondent's Motion to Dismiss.
2. In the alternative, should the Commission identify any pleading deficiency, **GRANT** SIC leave to file a Verified Amended Complaint within ten (10) days to cure any such deficiency.
3. Upon denial of the motion, **ORDER** Respondent to file its Answer within the time prescribed by the Commission's rules and set a schedule for further proceedings.
4. Alternatively, **STRIKE** Respondent's Motion to Dismiss as legally frivolous pursuant to 46 C.F.R. § 502.70.

Respectfully submitted,

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Dated: October 7th, 2025

CERTIFICATE OF SERVICE

I certify that on the 7th day of October 2025, a true and correct copy of the foregoing Notice of Service was hereby served by electronic mail upon the party of record for the Complainant, in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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